

2. *Housing Impact Fund*

Description of the Type of Fee—CGC Section 66006(b)(1)(A):

On January 8, 2002, the Council adopted Ordinance 01.02, amending Chapter 36 of the City Code, allowing for a nonresidential HI Fee to be imposed on all net new gross floor area for nonresidential development projects on a per-square-foot basis. The fee was adopted by resolution on October 30, 2001, with an effective date of January 14, 2002, and is adjusted annually based on the Consumer Price Index for the San Francisco-Oakland-San Jose area for the previous year. The HI fees and any investment earnings shall be used to increase and improve the supply of affordable housing to moderate- and lower-income households.

Amount of Fee—CGC Section 66006(b)(1)(B):

<u>Type</u>	<u>FY 2024-25</u>	<u>FY 2025-26</u>
Commercial/Entertainment/Hotel/Retail		
First 25,000 SF	\$2.10/net SF	\$2.17/net SF
25,000+ SF	\$3.60/net SF	\$3.72/net SF
High-Tech/Industrial/Office		
First 10,000 SF	\$16.50/net SF	\$17.03/net SF
10,000+ SF	\$34.00/net SF	\$35.09/net SF

Beginning and Ending Balances, Amount of Fees Collected, and Interest Earned—CGC Section 66006(b)(1)(C and D):

Beginning Balance, July 1, 2024		\$40,081,740
Housing Impact Fees	\$ 96,128	
Investment Earnings	1,168,714	
Other Revenue	<u>49,362</u>	
Total Unaudited Revenues		1,314,204
Total Unaudited Expenditures		<u>(13,309,022)</u>
Unexpended Balance		28,086,922
Reserved by City Council for		
Affordable Housing Projects:		<u>(23,133,876)</u>
Available Balance, June 30, 2025		<u>\$4,953,046</u>

During Fiscal Year 2024-25, there were \$96,128 in fees deposited, \$1.2 million of investment earnings, \$49,362 of other revenue, and \$13.3 million in expenditures, including a \$5.0 million transfer to the City's Local Housing Trust Fund to serve as the local matching for housing grants. As of June 30, 2025, there is an unexpended balance of